

ONOMICS

**The Board of INDIA TODAY Economists
deciphers the Budget to know whether it is
answering the economics of the economy or
the compulsions of politics**



HEMANT CHAWLA

MONEY TALK: (From left) Shah, Dev, Debroy, Chawla, Ranade, Bery and Roy

penditure programmes that work. But UPA, I think, embarked on a bunch of welfare programmes without the willingness to undertake genuine institutional reform. So, we recruit school teachers but have no way of making sure they come to work and even less of making sure that the children learn anything. We announce a massive National Rural Health Mission and have no capability in terms of the ground level, frontline health worker having any incentive to do his job.

This is a predictable crisis that UPA has landed itself in and its seeds go back five years when it came to power. There was this belief that what India needed was more welfare programmes. But I would totally contest that belief. There is no evidence that these welfare programmes either work or fetch any votes. They are Frankensteins. We should be wary of creating them. It is difficult to pull them back. The next government is going to inherit a pretty difficult fiscal situa-

tion because of the welfare measures of the UPA.

S. Mahendra Dev: Except for the loan waiver, there is some continuation in other things. It is a please-all budget, for everybody from the middle class, farmers, industrialists to the climate change and tigers. There is both growth and inclusive growth apart from this debt waiver which is more political.

Ajit Ranade: If you take away the loan waiver, which is not even part of the Budget actually, the annual exercise is a logical continuation of the fiscal consolidation that has been going on. There has been a remarkable progress in the last four-five years on the fiscal consolidation front. For this, you may give credit to the increase in the savings rate, the turnaround of the public sector and the notification of the fiscal discipline. The excise cuts are in line with the goal of GST. Then the change in the I-T slabs is like an inflation adjustment—the minimum level going to Rs 1.5 lakh.

Siddhartha Roy: The tax collection this year is pretty good. That is because the economy is buoyant. But there is no step in this Budget which either talks about corporate tax or removal of surcharge or anything like that. Bulk of the public savings come from non-departmental savings. Your Sixth Pay Commission will take, in the administration side, possibly whatever estimates we have seen from Rakesh Mohan and others, about one per cent of the GDP.

Bibek Debroy: You might as well say there is a method in the madness. If one is looking for a method, I would read it as thus—since 1991 there has been a roadmap for reform. Every government that has preceded this one has had at least one budget which strikes out because it has tried to push that reform course. The first point to note is that there is not a single budget of the present Government which has adhered to the roadmap for reform. They have all deviated. **Chawla:** Is there a consistency in the five budgets that Mr Chidambaram has presented?

Bery: I think over the last five years there has been a successful, confident strike. I would say he (Chidambaram) has adopted a sort of Hippocratic Oath of not doing any harm.

Shah: I see this UPA period as an opportunity lost. A well-managed economic administration would have used this opportunity to get the fiscal deficit down to 3 per cent, revenue deficit down to zero per cent, have strong primary surpluses and start showing a decisive decline in the debt-GDP ratio, get going on Fiscal Responsibility & Budget Management (FRBM) Act too. There was a whole opportunity for making progress on the fiscal front without too much of political pain. But we have lost that opportunity. The fiscal story could go dramat-

23% With only 25 million of the 110 million farmers having access to credit, the waiver is only a political signal.